

24STCV07069 24STCV07069

County: los-angeles

Division: Civil Law and Motion

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Case Number: 24STCV07069 Hearing Date: July 30, 2026 Dept: 311

SUPERIOR

COURT OF CALIFORNIA, COUNTY OF LOS ANGELES

Civil

Division

Central

District, Stanley Mosk Courthouse, Department 311

Tentative

Ruling

24STCV07069

WENDY

TRAN. AN INDIVIDUAL vs WEALTH BY HEALTH, INC., A CALIFORNIA CORPORATION, et al.

July

30, 2026

8:30

AM

NATURE OF PROCEEDINGS:

DEFENDANT KEVIN IP'S MOTION FOR LEAVE TO FILE CROSS-COMPLAINT. MOTION FOR ATTORNEYS' FEES.

RULING:

The Court denies the Motion
for Leave to File Cross-Complaint.

The Court orders off
calendar the Motion for Attorneys' Fees, as not having been timely filed.

Plaintiff to give notice.

I.

BACKGROUND

On March 20, 2024, WENDY
TRAN (Plaintiff) filed a Complaint against WEALTH BY HEALTH, INC., WEALTH BY
HEALTH STEPS FOR CHANGE FOUNDATION, and KEVIN IP (Defendants), listing Causes
of Action concerning wage-and-hour violations.

Plaintiff alleges that Defendant
WEALTH BY HEALTH hired Plaintiff to work as an Administrative Assistant, and to
work for related entities, but failed to pay for off-the-clock work and overtime.

On June 15, 2026, Defendants
filed the Motion for Leave to File a Cross-Complaint against Plaintiff, asserting
causes of action for (1) Elder Abuse (also referencing to Quiet Title), and (2)
Conversion in Violation of Penal Code section 496. (See Motion, Michael O. Azat
Declaration, Exhibit A),

Plaintiff opposes, based
on arguments such as that the proposed Cross-Complaint is not related and there
is a previously pending case covering it, such that there is nothing compulsory
here.

II.

LEGAL STANDARD

Cross-claims against
complainants arising from the same transaction or series thereof, existing at
the time of filing an answer, are compulsory. (E.g., Code Civ. Proc., § 426.30, subd. (a); *AI Holding Co. v. O'Brien & Hicks, Inc.* (1999) 75 Cal.App.4th
1310, 1313-1314.) In reviewing a denial of leave to file a compulsory

cross-complaint, appellate courts review the entire record for any substantial evidence of bad faith, defined as, "dishonest purpose, moral obliquity, sinister motive, furtive design or ill will." (Silver Organizations Ltd. v. Frank (1990) 217 Cal.App.3d 94, 100.)

Judges have discretion to deny leave to file permissive cross-complaints, including based upon a finding of unexplained delay, depending upon the interests of justice. (Crocker Nat. Bank v. Emerald (1990) 221 Cal.App.3d 852, 864.)

III.

ANALYSIS

A. Leave to File Cross-Complaint

Defendants propose to file a Compulsory Cross-Complaint based upon allegations that, during the same period Plaintiff alleges she was employed, she and her mother YUNA CHEN, took advantage of Mr. Ip's age and good nature, via undue influence to obtain cash, payments, gifts, and benefits, and they still live in Ip's house, claiming that the mother is the owner.

Plaintiff makes several points, including the following:

1.

The claims for elder abuse and conversion under Penal Code section 496 have nothing to do with Plaintiff's wages and hours as alleged in this case.

2.

The proposed Cross-Claims are already Causes of Action in another pending litigation.

3.

There would be duplication and a risk of inconsistent rulings having the Cross-Complaint pending.

4.

The Cause of Action under Penal Code

section 496 lacks merit, as it alleges what were really gifts, not stolen property.

5.

The pleading would cause Plaintiff prejudice at a time close to trial.

"The filing of compulsory cross-complaints is now governed by Code of Civil Procedure section 426.30. It provides, with certain exceptions, that 'if a party against whom a complaint has been filed and served fails to allege in a cross-complaint any related cause of action which (at the time of serving his answer to the complaint) he has against the plaintiff, such party may not thereafter in any other action assert against the plaintiff the related cause of action not pleaded.'" (Morris v. Blank (2001) 94 Cal.App.4th 823, 831.) (Underscoring added.) If a compulsory cross-complaint "has not been pleaded by the time the case goes to trial, judgment in the underlying action will bar later recovery by the party on the related claim." (City of Hanford v. Superior Court (1989) 208 Cal.App.3d 580, 587. See also Flynn v. Page (1990) 218 Cal.App.3d 342, 346 ["Under section 426.30, a party against whom a complaint has been filed and served must 'allege in a cross-complaint any related cause of action which (at the time of serving his answer to the complaint) he has against the plaintiff.'"]); Crocker Nat. Bank v. Emerald (1990) 221 Cal.App.3d 852, 863 ["has not 'failed' to plead a related cause of action in the past, as required by Code of Civil Procedure section 426.50."].) (Underscoring added.)

Here, the other Court has determined that this case is not related to that case, by Minutes entered on June 29, 2026. This Court concurs that wage-and-hour violations are not related to Elder Abuse and Theft Claims occurring outside the employment context, and finds that the overlapping of events during a period of time alone does not create relatedness.

Further, the Court finds that the proposed Cross-Complaint is not compulsory, because it is already covered by the Complaint and Second Amended Cross-Complaint, encompassing Quiet Title and Elder Abuse, in case number 23STCV27529, Kevin Ip, an Individual and as Trustee of the Ip Residence Trust (A), vs Yuna Chen, an individual, et al.

Thus, there has been no failure to plead a related cause of action in the past.

Additionally, adding as

Cross-Defendant YUNA CHEN would be only discretionary, as she is not a named Plaintiff in this case. Cross-complaints against parties other than plaintiffs or cross-complainants are permissive, and while efficiency may be gained by resolving claims in cross-complaints filed in one action, courts may require parties to pursue separate actions. (Insurance Co. of No. America v. Liberty Mut. Ins. Co. (1982) 128 Cal.App.3d 297, 303.)

B. Attorneys' Fees

A noticed motion for attorneys' fees usually is required, where the award would depend on the Court assessing an amount, and the procedure is needed to accord the parties a fair opportunity to address the matter. (612 South LLC v. Laconic Ltd. Partnership (2010) 184 Cal.App.4th 1270, 1284-1285.)

The Court docket shows no relevant filings after the Court set the hearing regarding the Motion for Attorneys' Fees, by the Minutes entered July 20, 2026.

IV.

CONCLUSION

The Court denies the Motion for Leave to File Cross-Complaint, for reasons set forth above.